

An Act

ENROLLED SENATE
BILL NO. 227

By: Daniels, Paxton, and
Stanley of the Senate

and

Moore, Archer, West
(Tammy), and Bashore of the
House

An Act relating to gross production tax; amending 68 O.S. 2021, Section 1001.1, which relates to property exempt from ad valorem tax as used in the production of material subject to gross production tax; expanding exempt property; updating statutory references; updating statutory language; and providing an effective date.

SUBJECT: Gross production tax

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 1001.1, is amended to read as follows:

Section 1001.1. A. The Oklahoma Tax Commission shall adopt rules and regulations which establish guidelines for the determination of property exempt from ad valorem taxation pursuant to the provisions of subsections ~~G~~ K and ~~H~~ L of Section 1001 of this title. ~~Said~~ Such guidelines shall include, but are not limited to, the following terms:

1. "Producing leases" means wells or leases or production units which have had production during any of the previous three (3) calendar years which is subject to the gross production tax levied by Section 1001 of this title and which have not been abandoned or

required to be plugged as required by law on or before January 1 of the year for which the assessment or valuation is made; and

2. "Payment of gross production tax" means payment of the tax levied by Section 1001 of this title on production during any of the three (3) calendar years immediately prior to January 1 of the year for which the assessment or valuation is made; ~~and~~.

~~3. B.~~ Property exempt from ad valorem tax pursuant to the provisions of subsections ~~G~~ K and ~~H~~ L of Section 1001 of this title shall include, but is not limited to ~~T~~:

~~Lease~~ 1. Lease production tanks, ~~lease~~;

2. Lease production meters ~~T~~;

3. Flowlines and gathering lines going from the wellhead either to the first sales meter that is the point of custody transfer or to the boundary of the production unit, whichever distance is shorter; and

~~disposal~~ 4. Disposal systems, including all materials and equipment of disposal systems and the lines transporting the waste materials, serving one or more wells, ~~which are not for commercial purposes~~. Provided, the exemption shall include the wellbore and non-recoverable down-hole material, including casing, actually used in the commercial disposal of waste materials produced with such oil or gas.

~~Such exempt property~~ C. The property exempt pursuant to this section and subsections K and L of Section 1001 of this title shall remain exempt as long as the property is essential to the production of oil and gas in commercial quantities. The county assessor shall be notified when such property becomes nonexempt.

SECTION 2. This act shall become effective January 1, 2027.

Passed the Senate the 17th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 8th day of April, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____